

GUIDE 06 · PORTFOLIO CONSTRUCTION

Diversification & Portfolio Design.

How private markets fit alongside stocks and bonds – the case for diversification, and a simple framework for building a resilient allocation.

An educational guide to building a balanced, diversified portfolio.

HeadOverSea

01 Why diversification matters

Diversification isn't about owning more things — it's about owning things that behave differently. That's where private markets earn their place.

A portfolio of only public stocks and bonds is exposed to the same forces moving those markets each day. Adding return streams that respond to different drivers — operational value creation, private lending, real assets — can steady the whole.

THE REAL POINT

Diversification is about return drivers, not just asset labels. The goal is holdings that don't all rise and fall together.

WHAT DIVERSIFICATION DOES

01

Different drivers

Private returns depend on factors distinct from daily public-market sentiment.

02

Lower correlation

Holdings that don't move in lockstep reduce the swings of the whole portfolio.

03

A smoother ride

Blending sources of return can soften drawdowns and steady the journey.

02 Where private markets fit

Private markets don't replace stocks and bonds — they complement them, strengthening both the growth and the income sides of a portfolio.

ALONGSIDE EQUITIES

On the growth side

Private equity and real assets pursue growth through operational improvement and long horizons, adding to what public stocks provide.

ALONGSIDE BONDS

On the income side

Private credit can offer income to complement traditional bonds, often with floating rates and direct protections.

DEFENSIVE · INCOME

GROWTH · APPRECIATION

03 A simple framework

One clear way to build an allocation is to give each holding a job — growth, income, real assets, or diversification — and size each to your goals.

ROLE	FILLED BY	WHAT IT ADDS
Growth	PRIVATE EQUITY	The engine — long-term appreciation from building better companies.
Income	PRIVATE CREDIT	A steady stream of interest income across market conditions.
Real assets	REAL ESTATE, INFRA	Tangible assets with income and a degree of inflation resilience.
Diversifiers	SECONDARIES, OTHERS	Return streams that broaden the mix and reduce concentration.

GIVE EACH HOLDING A JOB

When every position has a clear role, it's easier to size it, judge it, and know when it's doing its work.

04 Putting it together

A resilient allocation is built in layers — starting from a liquid core and adding private exposure with intention.

Set the core Begin with liquid public stocks and bonds sized to your needs and comfort.

Add private growth Introduce private equity and real assets for long-term appreciation.

Layer in income Use private credit to add income that complements your bonds.

Mind liquidity Keep enough liquid assets that private lock-ups never force your hand.

PRINCIPLES TO KEEP IN VIEW

○ **Match risk to goals**

Let your objectives and horizon set how much risk each layer carries.

○ **Respect liquidity**

Never commit capital you may need before a fund returns it.

○ **Diversify within**

Spread private holdings across strategies, vintages and managers.

○ **Review periodically**

Revisit the mix as goals, markets and your program evolve.

REFERENCE

05 Key terms, in plain language

Diversification

Combining investments that behave differently to reduce overall risk.

Correlation

How closely two investments move together — lower is more diversifying.

Asset allocation

How a portfolio is divided among different types of investment.

Return driver

The underlying source of an investment's return.

Drawdown

A decline in value from a peak — smaller is generally better.

Core holding

The stable, liquid foundation of a portfolio.

Real assets

Tangible investments such as property and infrastructure.

Rebalancing

Adjusting holdings back to the intended target mix.

IMPORTANT INFORMATION

This material is provided by HeadOverSea for educational purposes only. It is not investment, legal or tax advice, and it does not constitute an offer to sell or a solicitation to buy any security, fund or strategy. Nothing here should be relied upon as the basis for an investment decision.

Private markets investments involve significant risks, including the potential loss of capital, limited liquidity, long holding periods, the use of leverage, and reliance on the manager's execution. Past performance does not predict or guarantee future results, and there can be no assurance that any strategy will achieve its objectives. Investors should consider their own circumstances and consult professional advisers before investing.



HeadOverSea

189 South Orange Ave, Ste 1250, South Tower
Orlando, FL 32801, United States · contact@headoversea.com